

INVESTOR MEMO: ALPHA NOVA TECHNOLOGIES LTD. FY25 FORENSIC REVIEW

RECOMMENDATION: DO NOT PROCEED

FY25 results are materially overstated via coordinated accounting actions to create a strong IPO narrative. **PAT inflation detected: ~₹176 Cr (≈55%)**. Operating cash flow is negative (−₹127 Cr) vs reported PAT of ₹320 Cr.

KEY AUDIT FINDINGS (EVIDENCE BENCH)

- ⚠ **Revenue Inflation:** Q4 concentration (36%); March 3PL exceptions.

⚠ **Receivable Jump:** ₹140 Cr → ₹390 Cr; <10% year-end collection.

⚠ **Sham PPE Sale:** Disguised financing via sale of in-use assets.
- ⚠ **Returns & Protection:** Hidden side letters confirm return options.

⚠ **Inventory Policy:** Reduced provision rates vs FY24 norms.

⚠ **Investment Gains:** ₹55 Cr paper profits; no external valuation.

PERPETRATORS & CONTROL FAILURES

Suresh (GFC): Orchestrated provisioning and valuation close adjustments.
Sales Ops: Managed March cut-off and 3PL bill-and-hold exceptions.
Arjun (CEO): Direct pressure on income classification and presentation.

QUANTIFICATION: NORMALIZED FY25 P&L

Bridge Item	Impact (₹ Cr)
Reported PBT	368
Less: Channel-stuffed margin (₹150 × 60%)	(90)
Less: Fair value gains (Investments)	(55)
Less: Asset sale gains (Sham PPE Sale)	(45)
Less: Inventory under-provision	(8)
Tax Impact (~15%)	(26)

NET OVERSTATEMENT: ₹176 Cr (≈55%)

DILIGENCE REQUIREMENTS

- ⚠ 3PL confirmations & cut-off logs for March invoicing.

⚠ Independent valuation reports for unquoted investments.

⚠ Asset sale agreements and continued-use terms.

⚠ Supplier financing contracts & ageing schedules.
- CONFIDENTIAL / FORENSIC ADVISORY

FINANCIAL RECONCILIATION CLEAN BALANCE SHEET VIEW

BALANCE SHEET NORMALIZATION (₹ CR)

Asset/Liability Head	Reported	Adjustment	Clean View
Trade Receivables	390	(150)	240
Investments (FV)	160	(55)	105
Inventory (Net)	98	(8)	90
PPE (Fixed Assets)	210	+45	255
Trade Payables	12	+68	80

*Adjustments reflect reversal of invalid revenue, restoration of PPE, and reclassification of hidden supplier financing.

HIDDEN FINANCING MECHANISM

₹68 Cr

Supplier payables (₹80 Cr → ₹12 Cr) misclassified through undisclosed third-party financing programs to mask leverage.

SUBSTANCE OVER FORM BREACH

The ₹45 Cr gain on PPE disposal is strictly non-cash. Transaction is structured as a financing loan against equipment Alpha Nova continues to operate.

RISK ASSESSMENT: THE "SMOKING GUN" EARNINGS VS. CASH DECOUPLING



WHERE IS THE ₹447 CR VARIANCE?



FINAL VERDICT

The quality of earnings is irredeemable. High probability of statutory fraud. Recommend immediate cessation of all IPO preparations.